

Interaction between Frameworks and Policy

Operational frameworks have a bearing on the monetary policy stance. For instance, central banks used to move policy rates in 1/4 percent steps in most developed economies before the financial crisis. Since then, some central banks have started moving policy rates in 0.1% steps. For the operational frameworks this means that they need to ensure a much tighter range on actual market rates in order to make sure that the changed policy has any actual effect.

8.1 VOLATILITY

The volatility of the market rate corresponding to the policy rate is an obvious point of concern for the monetary policy stance. Volatile interest rates generate risk premia which, *ceteris paribus*, lead to a steeper yield curve. More significantly, the efficacy of a policy rate change would be diminished if actual market rates were to fluctuate wildly around that rate.

On a wider view, interest rates, the natural domain of central banks, are not the only factors affecting the decisions that monetary policy might want to encourage. For instance, in countries where workers have a large part of their assets in pension funds invested in equities (like the US), falls in equity prices can lead to reduced consumer expenditure (the so-called wealth effect) which could be dis-inflationary. That would suggest that central banks should be mindful of equity valuations, and in fact take measures to stabilise them. This is the intellectual underpinning of the 'Fed Put' concept. At the same time, excessive equity (or for that matter, any other asset) valuations may store up trouble for the future. This suggests, as is sometimes done, that central banks should lean against higher asset prices as well as higher inflation.

That being said, volatility is important for markets. Without volatility, there would be no need for trading or risk management¹ which would diminish the ability of a market to manage volatility when it returns. Volatility also acts as a brake on excessive risk-taking among financial and non-financial actors. Overall, therefore, the market

¹Or, coincidentally, this book.

volatility needs to be a concern for the monetary policy stance, and not just for the operational framework.

Central banks can manage market volatility through a variety of means, such as operations to control short rates, or longer-dated yields through outright purchases. Communications is an important channel because the better the public understands the likely actions of the central banks, the less it will react to surprises with outsized market moves.

One part of non-standard measures has been forward guidance. This policy tool is designed to dampen volatility by extending the forecast horizon of central bank action beyond the next policy announcement. In a now-famous paper [19], Campbell et al. distinguished between two types of forward guidance, which they termed Delphic and Odyssean. In the Delphic model, the central bank communicates its economic forecasts and the likely policy reaction if these outcomes materialise. The Odyssean model, on the other hand, binds the central bank unconditionally to a particular path of action. A full implementation of the Odyssean model with long horizons is unlikely to be credible given that it may cause the central bank to act against its mandate, for instance by hiking in the face of deflation based on an earlier commitment. The credibility of the Delphic model, on the other hand, depends on public trust in the superior forecasting ability of the central bank. Despite these caveats, forward guidance appears to have worked well [65] and is likely to remain a policy tool.

8.2 COLLATERAL

For central banks that use repo operations for liquidity provision, the choice of acceptable collateral is not purely an operational concern. From the operational standpoint, the range of collateral needs only to be large enough to ensure that enough of it is held by the banking system to absorb the liquidity that the central bank wishes to supply. One would in practice make the collateral range somewhat wider so that inevitable fluctuations in bank holdings, and of liquidity needs, do not require changes in the collateral criteria but still accept only the highest quality collateral available in that volume. Wider collateral ranges should be acceptable for the lender-of-last-resort function because banks requiring such support are less likely to hold large amounts of the highest quality collateral.

The Eurosystem has chosen a different approach. It accepts a very wide range of collateral for standard operations. While some authors view this as exposing the central bank to too much risk (e.g., [64]), the Eurosystem in fact manages collateral risk not only via collateral selection, but also through an aggressive use of haircuts² and daily margining. This wider collateral framework has a monetary policy stance aspect because it ensures access to central bank liquidity across a wide range of financial institutions. If the framework were narrower, there would be a need for the private banking system to establish channels of liquidity transmission to banks not holding the highest

²See Section 14.2 on page 128 for a discussion on haircuts and relative credit strength.

quality collateral. Any tightening in the lending conditions of this private transmission channel would affect the transmission of monetary policy.

Some observed cases of changes to collateral frameworks therefore have had policy stance aspects. The Fed's Term Securities Lending Facility (TSLF, see page 129) amounted to a collateral widening action by the central bank even though the Fed itself conducts only a limited amount of repo for liquidity provision. The ECB widened collateral eligibility criteria on several occasions as part of managing the financial crisis, and also unwound some of this widening when calm returned to the markets.